CONFIDENTIAL CLIENT FILE

DataFlow Systems Ltd v NexGen Analytics Ltd -- IP Dispute

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Date Opened: 3 February 2025
Fee Earner: Mr. Christopher Lane, Partner (IP & Technology)
Client: DataFlow Systems Ltd (Company No. 09127384)
Opponent: NexGen Analytics Ltd (Company No. 12845691)

1. Client Background

DataFlow Systems Ltd is a United Kingdom-based software company founded in 2014 by Dr. Helen Osei and Mr. Rajesh Kapoor. The company specialises in real-time data pipeline management software for the financial services sector. It employs 85 staff and has annual revenue of approximately GBP 12.4 million (FY 2024).

DataFlow's principal product is 'StreamCore', a proprietary low-latency data ingestion and transformation platform. StreamCore uses a novel adaptive partitioning algorithm (the 'Osei-Kapoor Algorithm') which is the subject of UK Patent No. GB2587412B, granted on 22 September 2021.

2. The Dispute

NexGen Analytics Ltd was founded in July 2023 by Mr. Marcus Webb and Ms. Anya Petrov. Mr. Webb was formerly employed by DataFlow as a Senior Software Engineer from March 2019 to June 2023. During his employment, Mr. Webb had direct access to the StreamCore source code and was a named contributor to the development of the Osei-Kapoor Algorithm.

In October 2024, NexGen launched a competing product called 'FlowEngine'. DataFlow's technical team conducted a comparative analysis in November 2024 and identified significant similarities between FlowEngine and StreamCore, particularly in the data partitioning module.

3. Evidence of Infringement

3.1 Patent Infringement (UK Patent GB2587412B):
An independent expert, Professor Andrew Whittle (Professor of Computer Science, Imperial College London), was instructed to analyse FlowEngine. Professor Whittle's preliminary report dated 15 January 2025 concludes that:

- FlowEngine's partitioning algorithm replicates all 7 claims of GB2587412B;
- The implementation uses identical variable naming conventions in 43 instances, indicating likely direct copying rather than independent development;
- The algorithmic approach to handling edge cases (Claims 4 and 5) is identical, including an unusual error-handling pattern that has no functional necessity.

3.2 Trade Secret Misappropriation:
Mr. Webb's employment contract (dated 4 March 2019) contained:

- Clause 12.1: A confidentiality obligation covering all proprietary software and algorithms, surviving termination indefinitely;
- Clause 14.3: A 12-month post-termination non-compete restriction within the financial data analytics sector;
- Clause 14.5: A 12-month restriction on soliciting DataFlow's clients.

Mr. Webb resigned on 30 June 2023. NexGen was incorporated 14 days later on 14 July 2023. FlowEngine entered development in August 2023, within the 12-month non-compete period.

4. Commercial Impact

Since FlowEngine's launch in October 2024, DataFlow has experienced:

- Loss of two major clients: Harrington Capital (annual contract value GBP 480,000) and Westfield Asset Management (annual contract value GBP 310,000), both of whom migrated to FlowEngine;
- Three prospective client engagements lost during competitive tender processes (estimated combined annual value: GBP 620,000);
- Downward pricing pressure on existing contracts, estimated at 8-12% reduction.

DataFlow estimates its total financial loss to date at GBP 1,410,000, comprising GBP 790,000 in lost contract revenue and GBP 620,000 in lost prospective contracts. Ongoing annual losses are projected at GBP 950,000 if NexGen continues to operate FlowEngine.

5. Remedies Sought

DataFlow instructs this firm to pursue the following remedies:

5.1 Interim Injunction: An urgent application for an interim injunction to restrain NexGen from offering, marketing, or licensing FlowEngine pending trial (American Cyanamid principles).

5.2 Patent Infringement Claim: Proceedings in the Intellectual Property Enterprise Court (IPEC) for infringement of GB2587412B, seeking damages or an account of profits.

5.3 Breach of Confidence / Trade Secrets: Claim under the Trade Secrets (Enforcement, etc.) Regulations 2018 (implementing the EU Trade Secrets Directive) for misuse of confidential information.

5.4 Breach of Restrictive Covenants: Claim against Mr. Webb personally for breach of the non-compete covenant (Clause 14.3) and confidentiality obligation (Clause 12.1).

5.5 Delivery Up / Destruction: An order for delivery up and destruction of all copies of FlowEngine source code derived from DataFlow's proprietary materials.

6. Risk Assessment and Strategy

6.1 Patent Claim Strength: Strong (80-85%). Professor Whittle's evidence of identical variable naming and error-handling patterns is compelling evidence of copying.

6.2 Trade Secret Claim: Strong (75-80%). The timing of NexGen's incorporation (14 days after resignation) and the speed of FlowEngine development support an inference of misuse.

6.3 Non-Compete Covenant: Moderate (60-70%). The 12-month duration and sector-specific scope are likely enforceable under Tillman v Egon Zehnder [2019] UKSC 32, but NexGen was incorporated 14 days after resignation and did not begin trading until August 2023 -- a point which NexGen may argue makes the operative date later than incorporation.

6.4 Injunction Prospects: The American Cyanamid test requires a serious question to be tried (clearly met), inadequacy of damages (arguable -- DataFlow's reputational harm is difficult to quantify), and balance of convenience. NexGen will argue that an injunction would destroy its business.

7. Estimated Costs

IPEC proceedings (capped regime): GBP 50,000 maximum recoverable costs.
Interim injunction application: GBP 25,000 to GBP 35,000.
Total estimated costs to trial: GBP 120,000 to GBP 150,000.

DataFlow has confirmed it is prepared to fund litigation and has considered ATE insurance.